

worth a small reduction in the amount received.

Cash discount terms are written in a standardized shorthand. The most common format is:

2 / 10 net 30

2%	10 days	30 days
Cash discount rate	Discount period — pay within this window to earn the discount	Full payment due — the total credit period

Worked Example — Tidal Goods Invoice:

Tidal Goods receives an invoice for \$4,200.00 from their wetsuit supplier. Terms: 2/10 net 30.

- Discount Amount: $\$4,200 \times 0.02 = \84.00
- Payment if paid within 10 days: $\$4,200 \times (1 - 0.02) = \$4,200 \times 0.98 = \mathbf{\$4,116.00}$
- If Tidal Goods waits past 10 days: full \$4,200 is due by day 30.

The True Cost of Skipping a Cash Discount:

Not taking a 2/10 net 30 discount is equivalent to borrowing money at roughly 37% annual interest. The \$84 "savings" from waiting buys only 20 extra days of payment deferral. For most businesses, it nearly always makes financial sense to take the cash discount when cash is available.

Formula Reference

Concept	Formula	Example
Net Price (single discount)	$= \text{List} \times (1 - d)$	$\$189.99 \times 0.70 = \132.99
Discount Amount	$= \text{List} \times d$	$\$189.99 \times 0.30 = \57.00
Complement	$= 1 - d$	$1 - 0.30 = 0.70$
Net Price (chain)	$= \text{List} \times (1-d_1) \times (1-d_2) \times (1-d_3)$	$\$64 \times 0.80 \times 0.90 \times 0.95$
Single Equiv Rate (chain)	$= 1 - [(1-d_1)(1-d_2)(1-d_3)]$	$1 - 0.684 = 31.6\%$